METALS & MINING · ENXTAM: MT — TOP GROWTH

MT: ArcelorMittal S.A.

Asymmetric Risk-Reward · Earnings Acceleration · Cyclical Turnaround

LTM P/E	NTM P/E	NTM EV/EBITDA	LTM P/BV
18.07x	**12.59x**	**7.09x**	**0.95x**
Historical	Steep compression	Enterprise value	Below book value

Value Rank	Growth Rank	Fwd 2Y EPS CAGR	Mom 12M
71/100	**81/100**	**+25.9%**	**+118.0%**
Top 20% in EU universe	TOP GROWTH	Forward estimate	Price return

THE QUANTITATIVE CASE FOR ARCELORMITTAL

ArcelorMittal (MT) presents a highly asymmetric risk-reward profile, scoring firmly in the top quintile of our European coverage universe with a **Growth Score of 81/100** — qualifying as a **Top Growth** name — and a Value Score of 71/100. The stock has demonstrated exceptional price momentum, recording a **+118.0% 1-year price return**. Despite this aggressive rally, the market has not yet fully priced in the company's forward earnings acceleration. The core thesis rests on MT's ability to drive massive bottom-line expansion — a **+25.9% Forward 2-Year EPS CAGR** — while maintaining deeply discounted valuation multiples relative to historical and sector averages.

1 · Valuation Analysis — Discount to Intrinsic Growth Potential

The valuation matrix indicates that ArcelorMittal is trading at a significant discount to its intrinsic growth potential.

- **P/E Compression:** LTM P/E of 18.07x compressing dramatically to **NTM P/E of 12.59x** — reflecting the steep anticipated earnings growth over the next twelve months.
- **Enterprise Multiples:** Exceptionally cheap at **NTM EV/EBITDA of 7.09x** and NTM EV/Revenues of 0.93x — pricing in virtually no recovery premium.
- **Book Value & Cash Flow:** Trading below book value at **LTM P/BV of 0.95x** — a strong margin of safety. NTM MC/FCF of 24.58x supported by a highly sustainable 18.3% payout ratio and a 0.9% dividend yield.

2 · Growth Profile — From Cyclical Trough to Structural Acceleration

Following a period of cyclical contraction — negative 3-year CAGRs in Revenue (-11.0%), EBITDA (-23.8%), and EPS (-29.8%) — forward estimates signal a robust structural turnaround.

- **Revenue Recovery:** Forward 2-Year Revenue CAGR projected at a stable **+2.9%**.
- **EBITDA Expansion:** Operational leverage expected to drive Forward 2-Year EBITDA CAGR of **+6.1%** as margins normalise from cyclical lows.
- **EPS Explosion:** The most compelling metric — Forward 2-Year EPS CAGR of **+25.9%** — the primary driver of the Top Growth qualification and the key re-rating catalyst.

3 · Profitability & Efficiency — Significant Margin Expansion Ahead

Current trailing metrics reflect the bottom of the cycle, leaving significant room for expansion as forward growth materialises.

- ■ **Current Margins:** LTM Gross Margin of 7.4% and LTM EBIT Margin of 2.6% — depressed by the cyclical trough, not structural impairment.
- ■ **Capital Returns at Trough:** LTM ROE of 5.4%, LTM ROA of 1.1%, ROIC of 2.2% and ROCE of 2.1% — all expected to expand materially as the +25.9% EPS growth is realised.
- ■ **Asymmetric Upside:** The gap between current depressed returns and normalised capital efficiency represents the core of the investment thesis — operational leverage at scale is a powerful earnings multiplier in the steel cycle.

4 · Business Overview & Global Footprint

Founded in 1976 and headquartered in Luxembourg, ArcelorMittal operates as an integrated steel and mining powerhouse across the Americas, Europe, Asia, and Africa, serving a highly diversified client base across automotive, appliance, engineering, construction, energy, and machinery industries.

- ■ **Flat Products:** Semi-finished slabs; hot- and cold-rolled coils/sheets, hot-dipped/electro-galvanized coils, and tinplate.
- ■ **Long & Tubular Products:** Blooms, billets, bars, wire-rods, structural sections, rails, and seamless/welded pipes.
- ■ **Mining:** Iron ore (lumps, fines, pellets) and coking coal across Brazil, Bosnia, Liberia, Mexico, South Africa, Ukraine, India, and Canada.

The Bottom Line

ArcelorMittal combines a deeply discounted valuation — trading below book at 0.95x P/BV and 12.59x NTM P/E — with one of the most compelling earnings acceleration profiles in our European universe. A Growth Score of 81/100 places MT firmly in the Top Growth tier, while the Value Score of 71/100 confirms the entry point remains attractive. For mandates seeking asymmetric exposure to the steel cycle recovery with quantitative conviction, MT stands out as a high-conviction cyclical compounder at an undemanding multiple.
